

TENTATIVE RULINGS

FOR: July 29, 2026

If you do not see a tentative ruling for a scheduled matter, then attendance at the hearing is required.

Remote appearances via Zoom are optional. Please use Zoom at the links listed below.

If you have cases scheduled in both courtrooms at the same time, first log-in to the Zoom session for the department that has your quickest matter(s), and upon check-in, ask the clerk to email the clerk in the other department to advise that you will be late to the other Zoom session.

Dept. A Zoom

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Dept. 3 Zoom

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Court Reporting Services – The Court does not provide official court reporters in proceedings for which such services are not legally mandated. Parties are responsible for either making the appropriate request in advance or arranging for their own private court reporter. Go to <http://napacountybar.org/court-reporting-services/> for information about local private court reporters. Attorneys or parties must confer with each other to avoid having more than one court reporter present for the same hearing.

**“Recording Court proceedings (whether by Zoom’s AI Meeting Summary functionality or by any other means) is PROHIBITED without express permission from a judicial officer.
(Cal. Rules of Court, Rule 1.150(c) & (d))**

**** Booth v. St. Helena Hospital will be heard in Dept. 3
All other matters originally set in Dept. B will be heard in Dept. A****

CIVIL CALENDAR – Hon. Joseph J. Solga, Dept. 3 (Criminal Courts Bldg.) at 8:30 a.m.

Richard Booth v. St Helena Hospital et al

16CV000693

ORDER TO SHOW CASE RE: COURT’S JULY 22, 2026, ORDER

TENTATIVE RULING: The Court’s February 27, 2026, Order denying Plaintiff Richard Booth’s Motion to Set Aside the Dismissal Order is hereby SET ASIDE and VACATED

in its entirety. The Court will sign the Proposed Order Granting Defendants St. Helena Hospital and Adventist Health System/West's Motion to Dismiss Plaintiff's Complaint lodged with the Court on or around June 15, 2026.

On March 25, 2025, Defendants St. Helena Hospital and Adventist Health moved, pursuant to Code of Civil Procedure section 583.310, to dismiss the action for failure to bring it to trial within five years. The matter originally came on for hearing on April 25, 2025, and was continued by Napa Superior Court, at Plaintiff Richard Booth's request, to May 1, 2025. By Minute Order of May 1, 2025, the Court ordered the case dismissed for failure to prosecute. The Court also ordered Counsel for Defendants "to prepare an Order After Hearing." There is, however, no indication in Napa Superior Court's case file that a proposed order after hearing was timely submitted, and no signed order of dismissal has, to date, been filed.

On February 27, 2026, Plaintiff Richard Booth's Motion to Set Aside Dismissal Order as Void Due to Stay Pending Arbitration came on regularly for hearing. No party requested oral argument, pursuant to Local Rule 2.9. Napa Superior Court therefore adopted its Tentative Ruling making it the order of the court. That order, among other matters, directs "the Clerk not to accept further filings in this action."

On April 27, 2026, Plaintiff Richard Booth filed a Notice of Appeal from the February 27, 2026, Minute Order. On July 21, 2026, the Court of Appeal for the First Appellate District, Division Three, issued an Alternative Writ of Mandate directed to this Court. The first alternative set forth therein would permit this Court to comply by: (1) setting aside and vacating the February 27, 2026, order denying Plaintiff Richard Booth's motion to set aside the dismissal order and ordering the Clerk to not accept further filings from Mr. Booth; and (2) entering a signed dismissal order consistent with the May 1, 2025, Minute Order of dismissal.

"[I]f a trial court is considering changing an interim order in response to an alternative writ, it must give the respective parties notice and an opportunity to be heard." (*Brown, Winfield & Canzoneri, Inc. v. Super. Ct.* (2010) 47 Cal.4th 1233, 1250, fn. 10.)

By Order of July 22, 2026, the Court ordered the parties to appear at this hearing and show cause why the Court should not comply with the Writ of Mandate by: (1) setting aside and vacating the February 27, 2026, order denying Plaintiff Richard Booth's motion to set aside the dismissal order and ordering the Clerk to not accept further filings from Mr. Booth; and (2) entering a signed dismissal order consistent with the May 1, 2025, Minute Order of dismissal. taking the contemplated action described above. The Court invited briefing by the parties.

Having reviewed the parties' briefs and considered the matter, the Court hereby orders as follows.

- (1) The Court's February 27, 2026, Order denying Plaintiff Richard Booth's Motion to Set Aside the Dismissal Order is hereby SET ASIDE and VACATED in its entirety;
- (2) The Court will sign the Proposed Order Granting Defendants St. Helena Hospital and Adventist Health System/West's Motion to Dismiss Plaintiff's Complaint lodged with the Court on or around June 15, 2026.

PROBATE CALENDAR – Hon. Cynthia P. Smith, Dept. A (Historic Courthouse) at 8:30 a.m.

Conservatorship of Susan Alice Ernst

22PR000230

[1] ACCOUNTING

[2] REVIEW – BIENNIAL

TENTATIVE RULING: This Accounting hearing is ordered dropped from the calendar. On July 16, 2026, Conservator filed a Petition to Approve Second Account and Report and set the matter for hearing on August 19, 2026. The present Accounting hearing is, therefore, redundant. The Review Hearing is CONTINUED to August 19, 2026, at 8:30 a.m. in Dept. A to coincide with the Accounting. The Clerk is directed to send notice to the parties.

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Estate of Catherine Mahoney

24PR000291

FINAL DISTRIBUTION HEARING

TENTATIVE RULING: Based on the Court’s review of the status report, the Court determines that continuation of administration is in the best interests of the estate and/or of interested persons. Thus, the Court orders that administration of the estate continue. The matter is CONTINUED to January 29, 2027, at 8:30 a.m. in Dept. B.

The Notice of Hearing does not comply with the requirement of Probate Code section 12201, subdivision (b), in that it does not include the statement: “YOU HAVE THE RIGHT TO PETITION FOR AN ACCOUNT UNDER SECTION 10950 OF THE CALIFORNIA PROBATE CODE.”

Executor is to provide code-compliant notice of the continued hearing using Judicial Council Form DE-120 which has been adopted for mandatory use.

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- [1] STATUS HEARING RE: FINAL DISTRIBUTION
- [2] AMENDED PETITION FOR TERMINATION OF THE ESTATE ON FINAL DISTRIBUTION; FOR APPROVAL OF THE FIRST AND FINAL ACCOUNT AND REPORT; FOR ALLOWANCE OF STATUTORY COMPENSATION TO ATTORNEYS AND CO-EXECUTORS; FOR REIMBURSEMENT OF COSTS ADVANCED BY CO-EXECUTORS; FOR PAYMENT OF OUTSTANDING COSTS TO ATTORNEYS; FOR PAYMENT OF POST-ACCOUNTING COSTS TO ATTORNEYS; APPROVAL OF POST-ACCOUNTING TRANSACTIONS; AND FOR AUTHORITY TO RETAIN ARESERVE FOR FINAL EXPENSES

TENTATIVE RULING: The Petition is GRANTED, including fees as prayed.

STATUS HEARING RE: FINAL DISTRIBUTION

APPEARANCE REQUIRED. Pursuant to Probate Code section 12200, a personal representative is required to either petition for an order for final distribution of the estate or make a report of status of administration not later than one year after the date of issuance of letters. There is no petition for final distribution or status report on file. Appearance is required to show the condition of the estate, the reasons why the estate cannot be distributed and closed, and an estimate of time needed to close administration of the estate. (Prob. Code, § 12202, subd. (a).)

PETITION FOR APPOINTMENT OF PROBATE CONSERVATOR OF THE PERSON – LIMITED CONSERVATORSHIP

APPEARANCE REQUIRED

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PETITION: 1. TO COMPEL TRUSTEE TO ACCOUNT AND PROVIDE INFORMATION; 2. TO INVALIDATE WRONGFUL LOAN DOCUMENTS; 3. TO DETERMINE OWNERSHIP OF TRUST PROPERTY; 4. FOR FINANCIAL ELDER ABUSE; 5. FOR BREACH OF TRUST / FIDUCIARY DUTY; 6. FOR DAMAGES AND SURCHARGE OF TRUSTEE; 7. TO DEEM KIM TYLER PREDECEASED; 8. ALTERNATIVELY, TO APPLY KIM TYLER'S INTEREST AS A BENEFICIARY OF THE TRUST TO THE SATISFACTION OF MONEY JUDGMENT; 9. FOR REMOVAL OF TRUSTEE AND APPOINTMENT OF A SUCCESSOR TRUSTEE; 10. FOR IMMEDIATE SUSPENSION OF TRUSTEE AS AND FOR APPOINTMENT OF AN INTERIM TRUSTEE; 11. TO RESTRAIN TRUSTEE FROM USING TRUST ASSETS TO DEFEND; 12. FOR PRELIMINARY INJUNCTION PREVENTING THE TRUSTEE FROM USING TRUST ASSETS

TENTATIVE RULING: The matter is CONTINUED to August 26, 2026, at 8:30 a.m. in Dept. A to permit Petitioner to serve Notice of Hearing and the Petition on: Debra Winkler, Julie Ingrid Spencer and Tim McCullach.

“The court lacks jurisdiction to rule on a motion that has not been properly noticed for hearing on the date in question.” (*Diaz v. Prof. Community Management, Inc.* (2017) 16 Cal.App.5th 1190, 1204-05.) Debra Winkler is identified in the Trust as the child of decedent Valija A. Tyler, Julie Ingrid Spencer is identified in the Trust as the child of decedent Allen N. Tyler and Tim McCullach is named co-trustee. However, there is no proof of service of the Petition and Notice of Hearing on Debra Winkler, Julie Ingrid Spencer and Tim McCullach in the Court’s file. (See Prob. Code § 1821, subd. (b), 1822, subd. (b)(2).).

Petitioner and any “interested person” who wishes to “request time for filing a response to the petition, for discovery proceedings, or for other preparation for the hearing” should prepare to appear at the August 26, 2026, to discuss whether any opposition is anticipated, whether the parties intend to submit on verified pleadings and affidavits (see *Evangelho v. Presoto* (1998) 67 Cal.App.4th 615, 620), whether any discovery or other pre-hearing practice is anticipated, and whether the parties are willing to participate in alternative dispute resolution proceedings. (Prob. Code, § 852 [mandating that the court “shall grant a continuance for a reasonable time” where any interested person appears at the hearing to request an extension of time].) Should any party desire an evidentiary hearing, the parties should be prepared, at the August 26, 2026, hearing, to provide the Court with an estimate for the length of the evidentiary hearing, and to set the hearing on the Court’s calendar.

CIVIL LAW & MOTION CALENDAR – Hon. Cynthia P. Smith, Dept. A (Historic Courthouse) at 8:30 a.m.

Kevin Coluccio et al v. Thomas Trainor et al

25CV001138

CROSS-DEFENDANT CALMAT CO. dba SHAMROCK MATERIAL'S DEMURRER TO CROSS-COMPLAINT, THREE SOLES INC. dba TRAINOR BUILDERS' CROSS-COMPLAINT

TENTATIVE RULING: The Demurrer is OVERRULED. Cross-Defendant Calmat Co. dba Shamrock Materials ("Shamrock") is granted 10 days' leave from entry of order to answer the First Amended Cross-Complaint ("FACC"). (See Rules of Court, rule 3.1320(g).)

A. PROCEDURAL MATTERS

Shamrock demurs, pursuant to Code of Civil Procedure section 430.10, subdivisions (e) and (f),¹ to Cross-Complainant Three Soles Inc. dba Trainor Builders' ("Trainor") FACC, filed April 2, 2026, on the grounds that the First Cause of Action for Equitable Indemnity, Second Cause of Action for Partial Indemnity, Third Cause of Action for Contribution, Fourth Cause of Action for Apportionment of Fault, and Fifth Cause of Action for Declaratory Relief fail to state facts sufficient to constitute a cause of action.

B. LEGAL STANDARD

A complaint must contain "facts constituting the cause of action." (§ 425.10, subd. (a)(1).) The party against whom a complaint has been filed may object, by demurrer, on the grounds that "[t]he pleading does not state facts sufficient to constitute a cause of action," or "[t]he pleading is uncertain." (§ 430.10, subds. (e)-(f).)

A demurrer is treated as "admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The Court must "construe the allegations of a complaint liberally in favor of the pleader." (*Skopp v. Weaver* (1976) 16 Cal.3d 432, 438.) The Court must also accept as true facts that may be inferred from those expressly alleged. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) The Court may also consider as grounds for a demurrer any matter that is judicially noticeable under Evidence Code sections 451 or 452. (Code. Civ. Proc., § 430.30, subd. (a).) Because "[a] demurrer tests only the legal sufficiency of the pleading . . . the question of plaintiff's ability to prove the [] allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Comm. on Children's Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 213-14.)

C. DISCUSSION

Shamrock argues that Trainor's claims in the FACC against it fail because each requires Shamrock to be a concurrent tortfeasor, but the economic loss rule bars any claims against

¹ All subsequent statutory references are to the Code of Civil Procedure unless otherwise specified.

Shamrock under any theory of tort. (Mem., 5:15-18, citing *American Motorcycle Assn. v. Sup. Ct.* (1978) 20 Cal.3d 578, 598 [holding that common-law equitable indemnity doctrine permits partial indemnity among concurrent tort-feasors on comparative fault basis].)

Under the economic loss rule, “[c]onduct amounting to a breach of contract becomes tortious only when it also violates a duty *independent of the contract* arising from principles of tort law. An omission to perform a contract obligation is never a tort, unless that omission is also an omission of a legal duty.” (*State Ready Mix, Inc. v. Moffatt & Nichol* (2015) 232 Cal.App.4th 1227, 1231; see also Mem., 6:21-7:20.) In the product liability context, “the economic loss rule allows a plaintiff to recover in strict products liability in tort when a product defect causes damage to ‘other property,’ that is, property other than the product itself. The law of contractual warranty governs damage to the product itself.” (*Jimenez v. Sup. Ct.* (2002) 29 Cal.4th 473, 483; see also Mem., 6:12-15.)

1. Parties’ Contentions

Here, Shamrock argues that the nature of the loss alleged by Trainor in the FACC arises out of Shamrock’s supply of nonconforming goods (concrete), which is not independent from Shamrock’s contractual obligation, and which is not alleged to have caused damage to other property other than the concrete itself. (Mem., 5:24-26, 7:21-27.) This, Shamrock contends, is confirmed by a review of Plaintiff’s Second Amended Complaint, filed June 12, 2026 (“SAC”), upon which Shamrock’s allegedly joint liability in the FACC is based. Specifically, Shamrock argues, the only allegations in the SAC that can be extended to Shamrock concern Shamrock’s supply of concrete and do not allege facts regarding personal injury or damage to property *other than the concrete itself*. (Mem., 5:24-6:11.) Rather, Shamrock contends, the allegations concerning other project defects are only the result of the *manner and method* in which the concrete was poured, which is outside the scope of Shamrock’s work. (*Ibid.*)

In Opposition, Trainor argues that there are damages alleged in the SAC, which arise from a violation of Shamrock’s duty outside of, and independent from, Shamrock’s contract to provide non-defective concrete. (Opp., 3:12-4:5, citing SAC, ¶¶ 43, 52, 59.) Moreover, Trainor argues that there are allegations of property damage other than the concrete itself which damage resulted from the defective concrete. (Opp., 4:6-28.) Specifically, Trainor points to Plaintiffs’ SAC, Paragraphs 56 and 67(k)-(l), which it contends allege that, as a result of the defective concrete, the residence suffers from water intrusion, there are several leaks, various walls and alcoves are out of plumbing, and a window ledge required concrete grinding and destroyed the finished surface. (Opp., 4:6-20.)

In Reply, Shamrock argues that Trainor inaccurately asserts the SAC alleges that the project defects other than the concrete itself are a result of the allegedly defective concrete. Rather, Shamrock argues that the “overwhelming majority” of the project defects alleged in the SAC “concern the means and methods used during construction and not the condition of the concrete supplied by Shamrock.” (Reply, 4:9-16.) Moreover, Shamrock argues that there must be a causal connection between the alleged product defect and the claimed damage to the property. (Reply, 6:23-7:6.)

2. Court's Analysis

The Court is not entirely persuaded that the SAC alleges damages arising from a violation of Shamrock's duty outside of, and independent from, Shamrock's contract to provide non-defective concrete, as Trainor would have the Court find. Indeed, Trainor merely argues that, not only are there allegations that Shamrock failed to provide non-defective concrete, but there are allegations that the concrete was defective. (Opp., 3:15-17, 4:1-3.) This makes little sense, and does not show that Shamrock's conduct violated anything outside of the contract. Moreover, the FACC clearly pleads that Shamrock was hired to provide materials for the concrete for the Project and that the SAC alleges defects with the concrete supplied. (FACC, ¶ 12.)

However, the Court need not reach a determination on that point because it finds that the exception to the economic loss rule discussed in *Jimenez*—that the SAC alleges property damage other than the concrete itself, which damage possibly resulted from the defective concrete—applies, and that the FACC clearly alleges that connection. (See SAC, ¶¶ 59, 67(k)-(l); FACC, ¶¶ 20 [“The damages alleged in Plaintiffs’ Complaint were the direct and proximate result of the conduct of the Cross-Defendants, and each of them. However, if as a result of the allegations in Plaintiffs’ Complaint, the Cross-Complainant is held liable for all or any part of the damages alleged by Plaintiffs, Cross-Complainant is thereby entitled to indemnity by Cross-Defendants, and each of them, on a theory of indemnity, in that the negligence or legal fault referred to in Plaintiffs’ Complaint resulted from the sole and primary negligence or legal fault of Cross-Defendants, and each of them.”].)

The premise advanced by Shamrock—that the SAC's allegations concerning other project defects are only the result of Trainor's and others' manner and method in which the concrete was poured and not as a result of the concrete itself—is not abundantly clear from the face of the SAC. While certain of the property defects are alleged in the SAC with specific reference to the cause being the construction work (as opposed to the concrete itself), not all defects are so clearly alleged. For example, it is not so clear to the Court that the damage alleged in Paragraph 67(k) and (l) is expressly *not* due to the defective concrete. Nor is the Court able to make any inferences to that effect in Shamrock's favor on a demurrer. (*Cundiff, supra*, 101 Cal.App.4th at 1405.) Moreover, the SAC's cause of action against Shamrock alleges damages from Shamrock's supply of concrete “to the main structural and aesthetic components of the structure, *causing damage to the building overall* in the form of leaks, holes, and walls being out of plumb.” (See SAC ¶ 84. Emphasis added.) Thus, the Court finds that there are allegations to support a possible tort theory of recovery against Shamrock. Whether or not Trainor will be able to prove those allegations is not presently before the Court on demurrer.

Based on the foregoing, the Court does not find that the economic loss rule bars Trainor's claims against Shamrock in the FACC.

As a final matter, although Shamrock's Memorandum cites uncertainty as a ground for its demurrer, Shamrock fails to specify in what particulars the FACC is uncertain. “Generally, the failure to specify the uncertain aspects of a complaint will defeat a demurrer based on the grounds of uncertainty.” (*Fenton v. Groveland Community Services Dist.* (1982) 135 Cal.App.3d 797, 809, overruled on other grounds by *Katzberg v. Regents of Univ. of Cal.* (2002) 29 Cal.4th

300, 328, fn. 30.) Moreover, a demurrer for uncertainty is disfavored and may only be sustained where the allegations render the complaint so incomprehensible that a defendant cannot reasonably respond. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135.) The Court finds the FACC to be entirely comprehensible such that Shamrock can reasonably respond.

Based on the foregoing, the demurrer is OVERRULED.

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Firefly Health Corp v. Trulieve Inc. et al

26CV000476

DEFENDANTS MOTION TO COMPEL ARBITRATION

TENTATIVE RULING: The motion is GRANTED. Plaintiff is ordered to refer its claims to arbitration pursuant to the Stock Purchase Agreement alleged in the operative complaint. The matter is STAYED pending resolution of said arbitration. The Court vacates the August 11, 2026 Case Management Conference and sets the matter for a Status Conference re: Arbitration on December 9, 2026, at 8:30 a.m. in Dept. A.

A. PRELIMINARY MATTERS

1. Nature of the Motion

Defendants Trulieve Inc. (Trulieve), a Florida corporation, Harvest of California, LLC (Harvest), a California limited liability company, and Trulieve CA, Inc. (Trulieve CA), a California corporation (collectively Defendants) move, pursuant to Code of Civil Procedure sections 1281.2 and 1281.4, or in the alternative, the Federal Arbitration Act, 9 U.S.C. section 1 et seq., for an order compelling Plaintiff Firefly Health Corp. to arbitrate the claims asserted against Defendants in this action.

2. Nature of the Action

Through the Operative Amendment to the Complaint (FAC)², Plaintiff identifies itself as “FIREFLY HEALTH CORP., a California corporation doing business as VELVET CANNABIS (‘Velvet’ or ‘Plaintiff’) . . .” (*Id.* a 1:21-22.) As Plaintiff couches the matter, “[t]his Complaint arises out of the acquisition of the Napa cannabis dispensary business (‘the Napa Dispensary’) from Trulieve Inc., by Velvet on or about March 31, 2023 (the ‘Transaction’), pursuant to a Stock Purchase Agreement dated March 31, 2023 (the ‘SPA’).” (FAC at ¶ 1.) The gravamen of the FAC is that Defendants are liable for damages Plaintiff allegedly suffered as a result of an employment discrimination / wrongful termination suit by a former employee of Defendants, Bianca Viscusi (Viscusi), who Plaintiff elected not to hire after the Transaction was consummated.

² While the operative pleading is captioned an “Amendment to Complaint” it appears to be a fully contained amended pleading.

Plaintiff alleges as follows. While the Transaction was in process, but before it closed, Trulieve “sent an email to Velvet that (i) amended the disclosure schedule under the SPA and (ii) expressly represented, among other things, that Viscusi was ‘not actively employed and is therefore not a RTC Employee,’ but Viscusi was an employee.” (FAC at ¶ 13.) The email further stated, “[a]s such, if Ms. Viscusi is still on leave at the time of the Closing, Velvet shall have no obligation to offer Ms. Viscusi employment under Section 6.04(a) of the Purchase Agreement.” (Id. at ¶ 14.) “Defendant further stated that, if Velvet did not intend to offer Viscusi employment at closing, ‘Harvest intends to enter into a severance agreement with Ms. Viscusi,’ and subsequently confirmed that Trulieve would in fact be presenting such a severance agreement following closing obligated to offer her employment.” (Id. at ¶ 15.)

Plaintiff further alleges that it elected to not employ Viscusi in reliance on the foregoing representations. Plaintiff asserts that, as a result, Defendants are obligated to indemnify Plaintiff against Viscusi’s discrimination and wrongful termination lawsuit. To that end, Plaintiff asserts claims against Defendants based in equitable indemnity, promissory estoppel, negligent misrepresentation, and negligence.

B. LEGAL BACKGROUND

A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*California Teachers Assn. v. Governing Bd.* (1984) 161 Cal.App.3d 393, 399.) Generally, on a motion to compel arbitration, supported by prima facie evidence of a written agreement to arbitrate the underlying controversy, a court must determine whether the agreement exists and, if any defense to its enforcement is raised, whether the agreement is enforceable. (*Rosenthal v. Great Western Financial Sec. Corp.* (1996) 14 Cal.4th 394, 413.)

The moving party bears the burden of proving the existence of the agreement by a preponderance of the evidence. (*Ibid.*) The opposing party bears the burden of producing evidence of and proving (by a preponderance) any fact necessary to any defense raised. (*Ibid.*) California law strongly favors arbitration. (*Prima Donna Development Corp. v. Wells Fargo Bank, N.A.* (2019) 42 Cal.App.5th 22, 35 (*Prima Donna*).)

Defendants submit, as evidence, a copy of the SPA. (See Support Memo at 3:5-11; see also Declaration of Brian Manning at ¶ 3 and Exh. A (Manning Decl.).) The SPA contains a provision requiring the parties to submit to arbitration “any disagreement, dispute or claim arises among the Parties hereto with respect to the enforcement or interpretation of this Agreement or otherwise with respect to the transaction contemplated hereby . . .” (Id. at § 9.11.) Defendants contend that each of the claims asserted by Plaintiff in the action falls within this scope.

Plaintiff argues that because Plaintiff is not a signatory to the SPA, it is not bound to arbitrate its claims. “Plaintiff Firefly Health Corp. dba Velvet Cannabis . . . never consented to arbitrate anything with anyone. Defendant’s motion to compel arbitration is supported solely by an arbitration provision in an agreement that Firefly is not a party to. The Stock Purchase Agreement dated March 31, 2023 (the ‘SPA’) [sic] Firefly did not sign it, did not negotiate it, and is not mentioned in it. The SPA was executed by three parties, and only three parties: Velvet

Holdings, Inc. (a distinct corporation), Harvest of California LLC, and Elliott Taylor.” (Opposition at 1:26-2:5.)

It is true that “Firefly Health Corp.” is not named in the SPA. Rather, the SPA provides that it is “entered into as of March 31, 2023, by and between Velvet Holdings, Inc., a California corporation (‘Buyer’), Harvest of California LLC, a California limited liability company (‘Harvest’) and Elliott Taylor, an individual (‘Taylor’).” (Manning Decl., Exh. A, at p. 1.)

However, Plaintiff’s assertion (that it is not a party to the SPA) appears to be undermined by its own allegation that “[t]his Complaint arises out of the acquisition of the Napa cannabis dispensary business . . . from Trulieve Inc., by Velvet on or about March 31, 2023 . . . pursuant to [the SPA].” (FAC at ¶ 7.) As used in the FAC, “Velvet” refers to Plaintiff Firefly Health Corp. (See *id.* at 1:21-22.) The foregoing appears, to the Court, to be a judicial admission that Plaintiff, by obtaining its rights and interests in and to the business *pursuant to the SPA*, is a party to the SPA.³

Even assuming, *arguendo*, that Plaintiff were a third-party to the SPA, the Court finds that it is estopped from repudiating the Arbitration Provision.

“In the arbitration context, a party who has not signed a contract containing an arbitration clause may nonetheless be compelled to arbitrate when he seeks enforcement of other provisions of the same contract that benefit him.” (*Metalclad Corp. v. Ventana Environmental Organizational Partnership* (2003) 109 Cal.App.4th 1705, 1713.) “When a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. [Citation.] There is no reason why this doctrine should not be equally applicable to a nonsignatory plaintiff. When that plaintiff is suing on a contract – on the basis that, even though the plaintiff was not a party to the contract, the plaintiff is nonetheless entitled to recover for its breach, the plaintiff should be equitably estopped from repudiating the contract’s arbitration clause.” (*JSM Tuscan, LLC v. Super. Ct.* (2011) 193 Cal.App.4th 1222, 1239-1240.)

Plaintiff acknowledges that “the dispositive question is whether the claims rely on the terms of that contract.” (Opposition at 2:18-21.) Plaintiff contends that, while its claims may *relate* to the SPA, they do not *rely* on the SPA. “Every one of Firefly’s five causes of action . . . arises from what Defendants said and did outside the four corners of the contract: categorical factual assurances in emails and telephone calls that Bianca Viscusi was ‘not actively employed,’ that no employment offer was required, and most importantly, Defendants’ voluntary promise that they would ‘handle’ Ms. Viscusi’s separation by obtaining a severance agreement and general release, followed by their negligent failure to include Harvest of Napa, Inc. as a releasee despite Firefly’s specific written and oral requests. Those statements and undertakings are the gravamen of this action.” (*Id.* at 2:23-3:2.)

³ Plaintiff’s argument that Section 9.08 of the SPA affirmatively disclaims third-party beneficiaries (see Opposition at 9:1-3) appears to support a finding that the allegations of paragraph 7 of the FAC constitute a judicial admission that Plaintiff is, in fact, a party to the SPA.

Again, Plaintiff's argument is undermined by its own allegations. Plaintiff alleges that "[p]rior to the closing of the Transaction, . . . Trulieve Inc. communicated with Velvet regarding the roster of Napa employees and whether Velvet would be obligated under the SPA to offer employment to Viscusi at closing." (FAC at ¶ 12.) Plaintiff then alleges details regarding the "categorical factual assurances in emails and telephone calls" that it, here, admits give rise to "every one of Firefly's five causes of action . . ." (Opposition at 2:23-3:2; see also FAC at ¶¶ 13-15.) Most importantly, Plaintiff *alleges* that these communications "amended the disclosure schedule under the SPA." (See *id.* at ¶ 13.)

Consistent with the foregoing, Defendants present evidence that, at the time they were made, the subject communications were identified by their author, Brian Manning, Assistant General Counsel for Trulieve, to be "a Schedule Supplement under Section 6.03 of the Stock Purchase Agreement, dated March 31, 2023, . . . by and between Velvet Holdings, Inc. ('Buyer'), Harvest of California LLC ('Harvest') and Elliott Taylor. This Schedule Supplement shall replace in its entirety Section 3.15(b) of the Disclosure Schedule which was delivered to Buyer by Harvest upon the execution of the Purchase Agreement (attached for convenience)." (Manning Decl. at ¶ 3, Exh. B.) The SPA, in turn, provides that "Section 3.15(b) of the Disclosure Schedules sets forth a complete and accurate list of all Persons employed by RTC, who are actively employed by RTC in the business of the Company as of the date hereof (the 'RTC Employees'), and each RTC Employee's job title and rate of compensation." (*Id.*, Exh. A at § 3.15, subd. (b), p. 13.)

From the foregoing, the Court finds that the email communications, from which Plaintiff admits all of its claims arise, constituted disclosures of material fact that the SPA obligated the Seller to make to the Buyer. The Court further finds from this evidence that the email communications were incorporated into, and made a part of the SPA, as a "Schedule Supplement under Section 6.03" thereof. Based on these findings, it is clear to the Court that the duty (or duties) that Plaintiff alleges Defendants breached, are duties arising under SPA and owed by the Seller thereof to the Buyer.

Based on the foregoing, the Court finds that Plaintiff is estopped from repudiating the Arbitration Provision of the SPA.

Finally, Defendants contend, on a number of grounds, that they are each entitled to assert the Arbitration Provision, despite the fact that they are not each a signatory to the SPA. (See, *e.g.*, Support Memo at 10:5, *et seq.*) The Court finds merit in Defendants' arguments that they are so-entitled based on equitable estoppel and, independently, based on Plaintiffs' allegations that each Defendant is an agent of the others. Plaintiff appears to concede the issue by failing to raise it through the Opposition.

Based on the foregoing, the Motion is GRANTED.